



Term Evaluation Theory (Even) Semester Examination February 2026

Roll no.....

Name of the Course and semester: B.com (Hons) IV Sem

Name of the Paper: International Investment Appraisal

Paper Code: BCH 40X AC

Time: 1.5-hour

Maximum Marks: 50

Note:

- (i) Answer all the questions by choosing any one of the sub questions
- (ii) Each question carries 10 marks.
- (iii) Please specify COs against each question.

Q1. (10 Marks)

a. Discuss how conflicts between different stakeholder groups can influence financial decision-making. Suggest mechanisms to resolve such conflicts (CO1)

OR

b. Illustrate the impact of ESG (Environmental, Social and Governance) considerations on long-term financial policy and investment decisions. (CO3)

Q2. (10 Marks)

a. Critically analyze the agency problem in large corporations and explain how financial policies can reduce agency costs. (CO4)

OR

b. Illustrate the role of the treasury function in managing short-term liquidity and long-term corporate value maximization. (CO3)

Q3. (10 Marks)

a. Explain the concept of Modified Internal Rate of Return (MIRR) and how it addresses the limitations of the traditional Internal Rate of Return (IRR)? (CO2)

OR

b. Analyze the use of sensitivity analysis and scenario analysis in assessing project risk? (CO4)

Q4. (10 Marks)

a. A project requires an initial investment of \$40,00,000 and is expected to generate after-tax cash inflows of \$11,00,000 per year for 5 years. If the cost of capital is 12%, calculate the NPV and advise whether the project should be accepted? (CO4)
(10 Marks)

OR

b. A project requires an initial investment of \$1,00,000 and is expected to generate cash inflows of \$30,000, \$40,000, \$50,000 over three years. The reinvestment rate is 8% (FVF-Period 1 - 1.0800, Period 2 - 1.1664, Period 3 - 1.2597) and the cost of capital is 10% (PVF-Period 1 - 0.9091, Period 2 - 0.8264, Period 3 - 0.7513). Compute the MIRR and interpret the result? (CO4)